

MINDTECK (INDIA) LIMITED

PRESTIGE ATLANTA, NO.10, INDUSTRIAL LAYOUT, 7TH MAIN, 80 FEET ROAD, 3RD BLOCK,
KORAMANGALA, BANGALORE 560 034

AUDITED CONSOLIDATED FINANCIAL RESULTS FOR THE QUARTER AND YEAR ENDED MARCH 31, 2014

(Rs in lacs, except as otherwise stated)

Sl. No.	Particulars	Quarter ended			Year ended	
		31-Mar-2014	31-Dec-2013	31-Mar-2013	31-Mar-2014	31-Mar-2013
		Unaudited (Note 1)	Unaudited (Note 1)	Unaudited (Note 1)	Audited	Audited
1	Income from operations	8,336.83	8,326.52	7,093.58	32,881.24	26,431.73
2	Expenses					
	a) Employee benefit expense	5,056.77	5,088.64	4,798.35	20,389.64	18,132.58
	b) Cost of technical sub-contractors	1,892.96	1,717.82	1,389.87	6,755.76	4,951.58
	c) Depreciation and amortisation expense	26.89	24.08	22.46	89.26	107.80
	d) Other expenses	724.68	698.58	767.33	2,839.21	2,944.49
	Total expenses	7,701.30	7,529.12	6,978.01	30,073.87	26,136.45
3	Profit from operations before other income, finance costs and exceptional items (1 - 2)	635.53	797.40	115.57	2,807.37	295.28
4	Other income	35.14	8.44	18.59	61.07	144.88
5	Foreign exchange gain / (loss)	(47.30)	(30.49)	(35.62)	33.33	(138.56)
6	Profit from ordinary activities before finance costs and exceptional items (3 + 4 + 5)	623.37	775.35	98.54	2,901.77	301.60
7	Finance costs	11.07	10.19	18.32	48.59	49.58
8	Profit from ordinary activities after finance costs but before exceptional items (6 - 7)	612.30	765.16	80.22	2,853.18	252.02
9	Exceptional items	-	-	-	-	-
10	Profit from ordinary activities before tax (8 - 9)	612.30	765.16	80.22	2,853.18	252.02
11	Tax expense (Note 6)	203.68	244.61	75.77	991.77	146.06
12	Net Profit from ordinary activities after Tax (10 - 11)	408.62	520.55	4.45	1,861.41	105.96
13	Extraordinary items	-	-	-	-	-
14	Net Profit for the period (12 - 13)	408.62	520.55	4.45	1,861.41	105.96
15	Paid-up equity share capital (face value of Rs 10 each) (Note 3, 4 and 5)	2,456.41	2,451.68	2,451.68	2,456.41	2,451.68
16	Reserves	12,176.47	11,592.92	10,349.59	12,176.47	10,349.59
17	Earnings per share (Note 3, 4 and 5)					
	Basic EPS (in Rs.)	1.66	2.12	0.07	7.59	0.43
	Diluted EPS (in Rs.)	1.64	2.11	0.07	7.54	0.43
18	Public shareholding (Note 3, 4 and 5)					
	Number of shares	8,810,214	8,762,914	8,762,914	8,810,214	8,762,914
	Percentage of shareholding	35.27	35.15	35.15	35.27	35.15
19	Promoters and promoter group shareholding					
	a) Pledged/Encumbered					
	- Number of shares	Nil	Nil	Nil	Nil	Nil
	- Percentage of shares (as a % of the total shareholding of promoter and promoter group)	Nil	Nil	Nil	Nil	Nil
	- Percentage of shares (as a % of the total share capital of the company)	Nil	Nil	Nil	Nil	Nil
	b) Non-encumbered (Note 3, 4 and 5)					
	- Number of shares	16,169,857	16,169,857	16,169,857	16,169,857	16,169,857
	- Percentage of shares (as a % of the total shareholding of promoter and promoter group)	100.00	100.00	100.00	100.00	100.00
	- Percentage of shares (as a % of the total share capital of the company)	64.73	64.85	64.85	64.73	64.85

Notes to consolidated financial results for the quarter and year ended March 31, 2014

- 1 The above consolidated financial results of the Company have been reviewed by the Audit Committee and thereafter approved by the Board of Directors in their meeting held on May 29, 2014. The Company's Statutory Auditors have carried out the audit of the consolidated financial results for the year ended March 31, 2014, pursuant to Clause 41 of the Listing Agreement. Figures of the quarter ended March 31, 2014 are the balancing figures between audited figures in respect of the full financial year (March 31, 2014) and the published year to date figures upto the third quarter (period ended December 31, 2013) of the current financial year (March 31, 2014). Also, the figures upto the end of the third quarter (December 31, 2013) were only reviewed and not subjected to audit. Similarly, figures for the corresponding quarter ended March 31, 2013 are the balancing figures between audited figures in respect of the full financial year (March 31, 2013) and the published year to date figures upto the third quarter (period ended December 31, 2012) of the previous financial year (March 31, 2013). Also, the figures upto the end of the third quarter (period ended December 31, 2012) were only reviewed and not subjected to audit. An unqualified report has been issued by them thereon.



- 2 The above unaudited consolidated financial results of the Company include the financial results of its wholly owned subsidiaries including step subsidiaries - Mindteck Inc., Mindteck Singapore Pte. Limited., Mindteck UK Limited., Mindteck Netherlands B.V., Mindteck Germany GmbH, Mindteck Middle East Limited. SPC., Mindteck Software Malaysia SDN BHD and Chendle Holdings Ltd.
- 3 The Company has consolidated the financial statements of the Mindteck Employees Welfare Trust ('the Trust') with that of its standalone financial statements to comply with the requirements of SEBI (ESOS and ESPS) Guidelines 1999. As a result, the Company's paid up equity shares stand reduced by 416,000 shares as on March 31, 2014. To give effect to the consolidation of the Trust, Rs 41.6 lacs has been reduced from equity share capital, Rs 362.4 lacs has been reduced from securities premium account and Rs 15.74 lacs has been adjusted in reserves. The shares held by the Trust were reduced from outstanding number of shares for computation of basic and diluted EPS of the Company. However, these shares have been included in public share holding in the above statement.
- 4 During the quarter, 47,300 shares have been issued upon exercise of stock options / restricted shares by employees.
- 5 EPS for the quarter is not annualised.
- 6 Tax expense for the quarter ended March 31, 2014 and for the year ended March 31, 2014 includes tax expense of Rs 44.36 lacs and Rs 132.29 lacs (cumulative) respectively, pertaining to previous years.
- 7 Unaudited Financial Results (Standalone information) (Rs in lacs, except as otherwise stated)

Particulars	Quarter ended			Year ended	
	31-Mar-2014	31-Dec-2013	31-Mar-2013	31-Mar-2014	31-Mar-2013
	Unaudited	Unaudited	Unaudited	Audited	Audited
	(Note 1)	(Note 1)	(Note 1)		
Revenues	1,945.52	1,904.51	1,531.31	7,584.00	5,803.86
Profit before tax and exceptional items	492.62	463.31	145.37	1,940.92	328.39
Profit after tax and exceptional items	260.91	269.84	59.15	1,200.64	178.03

8 Segmental reporting (Consolidated - unaudited)

The Mindteck Group's operations predominantly relate to providing software services to external customers and providing IT-enabled services to consolidated subsidiaries within the Group. The Group considers business segment as the primary segment and geographical segment based on the location of customers as the secondary segment.

Since IT-enabled services are rendered to subsidiaries which are consolidated, the disclosure of a separate IT-enabled services segment as a separate primary segment is not applicable. The Group is therefore considered to constitute a single primary business segment and accordingly primary segment disclosures have not been presented.

The accounting principles consistently used in the preparation of the consolidated financial statements are also consistently applied to record income and expenditure in the individual segments.

Geographical segments

(Rs in lacs, except as otherwise stated)

Revenue from external customers by location of customers	Quarter ended			Year ended	
	31-Mar-2014	31-Dec-2013	31-Mar-2013	31-Mar-2014	31-Mar-2013
	Unaudited	Unaudited	Unaudited	Audited	Audited
	(Note 1)	(Note 1)	(Note 1)		
- USA	6,738.10	6,653.01	5,905.49	26,463.64	21,995.21
- India	178.32	203.35	72.10	725.27	167.03
- Rest of the world	1,420.41	1,470.16	1,115.99	5,692.33	4,269.49
Total	8,336.83	8,326.52	7,093.58	32,881.24	26,431.73

(Rs in lacs, except as otherwise stated)

Carrying amount of segment assets by location of asset	As at	
	31-Mar-2014	31-Mar-2013
	Audited	Audited
- USA	5,595.86	4,525.24
- India	3,320.07	1,893.23
- Rest of the world	1,840.40	1,825.82
- Unallocated corporate asset - Goodwill on consolidation	8,735.78	8,716.93
Total	19,492.11	16,961.22

(Rs in lacs, except as otherwise stated)

Cost to acquire tangible and intangible fixed assets by location of assets	Year ended	
	31-Mar-2014	31-Mar-2013
	Audited	Audited
- USA	34.73	2.45
- India	254.73	80.76
- Rest of the world	37.46	45.99
Total	326.92	129.20

9 Information on investor complaints pursuant to Clause 41 of the Listing Agreement for the quarter ended March 31, 2014:

Nature of Investor complaints	Opening balance	Additions	Disposal	Closing balance
Nil	Nil	Nil	Nil	Nil



(Rs in lacs, except as otherwise stated)

Particulars	As at 31-Mar-2014 Audited	As at 31-Mar-2013 Audited
EQUITY AND LIABILITIES		
Shareholder's funds	2,456.41	2,451.68
Share capital	12,176.46	10,349.59
Reserves and surplus	14,632.87	12,801.27
Sub-total - shareholder's funds		
Share application money pending allotment	75.66	75.66
Non-Current liabilities		
Long-term borrowings	-	46.25
Other long term liabilities	44.48	34.46
Long-term provisions	367.43	381.15
Sub-total - non-current liabilities	411.91	461.86
Current liabilities		
Short term borrowings	-	102.83
Trade payables	1,480.55	1,508.83
Other current liabilities	1,097.48	1,273.80
Short term provisions	1,793.64	736.97
Sub-total - current liabilities	4,371.67	3,622.43
TOTAL - EQUITY AND LIABILITIES	19,492.11	16,961.22
ASSETS		
Non-current assets		
Fixed assets	332.08	175.31
Tangible assets	93.09	94.93
Intangible assets	8,735.78	8,716.93
Goodwill on consolidation	50.53	34.23
Deferred tax assets (net)	1,474.29	1,292.70
Long-term loans and advances	30.71	28.62
Other non-current assets	10,716.48	10,342.72
Sub-total - non-current assets		
Current assets		
Trade receivables	5,684.85	4,668.40
Cash and bank balances	1,539.50	770.75
Short term loans and advances	226.47	273.65
Other current assets	1,324.81	905.70
Sub-total - current assets	8,775.63	6,618.50
TOTAL - ASSETS	19,492.11	16,961.22

11 The Board of Directors at its meeting held on May 29, 2014 have recommended dividend of 10% (Rs 1 per equity share of par value Rs 10 each) for the year ended March 31, 2014.

12 Previous period/year figures have been reclassified/ regrouped to confirm with current period/year presentation, wherever applicable.

For and on behalf of the Board of Directors,


Yusuf Lanewala
Chairman & Managing Director

Place : Bangalore

Date : May 29, 2014